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ACC 101: Introduction to Financial Accounting - Double Entry to Trial Balance

Learn the accounting cycle by doing it, one transaction at a time

FACULTY PRIMER

Faculty Primer

Faculty of Management Sciences
Accountancy | 100L

Written for students, by students.

Practical notes, worked examples, practice questions and a revision plan.

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Independent study support | Not an official UNIZIK publication

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Why this pack exists

Accounting is a skill, not a set of definitions. This pack walks you through the accounting equation, double entry, books of original entry, the trial balance and simple final accounts, with worked transactions you can replicate on paper.

This is a student-written study companion, not a reproduced lecture handout or a leaked examination paper. Use it to organise the topics you are taught, practise the kind of thinking your course rewards, and walk into class with better questions.

What you will be able to do

- Apply the accounting equation to record transactions correctly.
- Post transactions using double entry and balance a ledger account.
- Prepare a trial balance and identify errors it will not reveal.
- Prepare a simple income statement and statement of financial position.

How to use this pack

1. Skim the whole pack once in 20 minutes so you know what is inside.
2. Work through one section at a time with your lecture note and recommended text beside you.
3. Attempt the practice questions before reading the answers. Mark what you missed.
4. Use the final checklist to plan your revision week, one tick per study session.

> **Free to download, always**
> This pack is free. There is no fee, no subscription and no payment step before download, and the full PDF is not watermarked or locked. Share the link with a coursemate instead of forwarding the file.

> **Confirm your official course outline**
> Course codes, credit units and outlines can differ by department and session. Treat this pack as supplementary support and confirm the current outline with your lecturer, course rep or departmental handbook before an assessment.

The accounting equation

Every transaction preserves the relationship assets equals liabilities plus capital.

- Assets are resources controlled by the business; liabilities are obligations to outsiders; capital is the owner's residual interest.
- Increase in an asset is a debit; increase in a liability or capital is a credit.
- Expenses reduce capital and are debits; income increases capital and is a credit.
- Drawings reduce capital and are debits to the drawings account.
- Every transaction affects at least two accounts and keeps the equation in balance.

- Write the equation after every transaction until it is automatic.

> **Debit does not mean good**
> Debit simply means the left side of an account. Stop attaching moral meaning to it and the confusion disappears.

Books of original entry and the ledger

Transactions are first recorded in day books, then posted to the ledger, then summarised in the trial balance.

- Sales day book for credit sales; purchases day book for credit purchases.
- Returns inwards for goods returned by customers; returns outwards for goods returned to suppliers.
- Cash book combines cash and bank; treat it as both a book of original entry and a ledger.
- Journal entries record adjustments, corrections and non-routine transactions with narrations.
- Post to the relevant ledger accounts and balance them at the period end.
- Extract the trial balance from ledger balances to check arithmetic equality.

Errors and final accounts

A trial balance that balances is not proof of accuracy. Some errors cancel out.

- Errors not revealed: omission, commission, principle, original entry, reversal and compensating errors.
- Errors revealed: one-sided posting, wrong addition and transposition between accounts.
- Suspense accounts hold the difference until the error is found and corrected.
- Income statement: revenue minus cost of sales gives gross profit; minus expenses gives net profit.
- Statement of financial position: assets, liabilities and capital at a point in time.
- Adjust for accruals, prepayments, depreciation and closing inventory before finalising.

PRACTICE, NOT PREDICTION

Check your understanding

These questions are written for this pack to test the ideas above. They are not past examination questions and do not predict what your lecturer will set. Answer first, then compare.

1. A business buys equipment for cash. State the double entry.

Answer: Debit equipment account; credit cash account. Both are assets, so the equation stays balanced.

2. What is the effect of drawings on capital?

Answer: Drawings reduce capital and are recorded as a debit to the drawings account.

3. Name two errors that a trial balance will not reveal.

Answer: Error of omission and error of principle; compensating errors and errors of original entry are also hidden.

4. Gross profit is 200,000 and expenses are 75,000. Find net profit.

Answer: Net profit = 200,000 - 75,000 = 125,000.

5. Why is depreciation charged?

Answer: To allocate the cost of a non-current asset over its useful life and match it against the revenue it helps generate.

Your 7-step action plan

Tick each step only when you have done it. A tick you cannot defend is worse than an empty box.

- [ ] Write the accounting equation and classify ten accounts as asset, liability, capital, income or expense.
- [ ] Record 15 transactions in day books and post them to ledger accounts.
- [ ] Balance five ledger accounts correctly.
- [ ] Prepare a trial balance from a list of balances.
- [ ] List six errors that a trial balance will not detect.
- [ ] Prepare a simple income statement with three adjustments.
- [ ] Attempt one past ACC 101 question under timed conditions.

Keep going

One pack will not carry a semester. Pair this with your lecture notes, tutorials, and the past questions your department actually releases. If a topic still feels unclear, take a specific question to your lecturer or course rep - "I do not understand the difference between X and Y" gets a better answer than "I do not understand this course".

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YOUR WORKSPACE

Notes, questions and things to ask

Use this page in class or during revision. Write questions you could not answer instead of copying slides.

Three ideas I can now explain without notes:

A question I still cannot answer:

For my lecturer or course rep:

Next revision action and date:

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